

26STCV08102 26STCV08102

County: los-angeles

Division: Civil Law and Motion

Department: 309

Hearing date: 2026-09-24

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C309%2C09%2F24%2F2026

Source SHA-256: 81a795b4510c60e75b9d5715c026479efbaa038a32c1ef1baee45f574af4420a

Case Number: 26STCV08102 Hearing Date: September 24, 2026 Dept: 309

Superior Court of California

County of Los Angeles

DEPARTMENT

309

TENTATIVE RULING

FRANK DIAZ

vs.

AEROTEK, INC., et al.

Case

No.: 26STCV08102

Hearing Date: September 24, 2026

Defendant's

motion to compel arbitration is DENIED.

On

3/13/2026, Plaintiff Frank Diaz (Plaintiff) filed suit against Aerotek, Inc.,

Duluth Services Inc. fka Duluth Environmental Services, Inc. and dba Vest Tube

LLC and Vest, and Stacie Miles, alleging: (1) disability discrimination; (2)

failure to reasonably accommodate; (3) failure to engage; (4) failure to

provide; (5) retaliation; (6) failure to prevent; (7) wrongful termination; (8) retaliation; and (9) defamation.

On

7/2/2026, Defendants Aerotek, Inc. and Duluth Services, Inc. (collectively, Defendants) moved to compel arbitration and stay this action.

Discussion

I.

Defendants' Burden

The party moving to compel arbitration “bears the burden of proving [the] existence [of an arbitration agreement] by a preponderance of the evidence.” (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 413.) The moving party also bears the burden of demonstrating that the claims fall within the scope of the arbitration agreement. (Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961.)

Defendants

submitted evidence that Plaintiff was assigned to work at Vest Tube, LLC (Vest) as a General Production Worker from approximately 8/20/2024 to 3/5/2025, and entered into 13 arbitration agreements throughout that time. (Collum Decl. Exhs. 1-13)

Defendants

also submitted evidence that Plaintiff's claims fall within the scope of the agreements. (Id.)

However,

in opposition, Plaintiff argues that the Federal Arbitration Act (FAA) expressly exempts from its coverage all contracts of employment involving “any other class of workers engaged in” foreign or interstate commerce. (9 U.S.C. § 1.) Plaintiff contends that throughout his employment, he “performed work directly and necessarily connected to the shipping, handling, movement, and delivery of goods in interstate and international commerce. His assignments included working as a lead shipping and receiving clerk for Bird Rides, Inc., a material handler for BDP International, Inc., an international logistics company, and a general production worker for Vest, where he manufactured,

bundled, transported, staged, and prepared steel products for shipment.” (Opp., 1: 7-8.)

The FAA

expressly does not apply “to contracts of employment of seamen, railroad employees, or any other class of workers engaged in foreign or interstate commerce.” (9 USC § 1; see *Rittmann v. Amazon.com, Inc.* (9th Cir. 2020) 971 F3d 904, 914-915 (exclusion covers package delivery drivers who operate wholly within the state when packages originate out of state). The U.S. Supreme Court has interpreted the exclusion to apply only to “transportation workers.” All other employment contracts affecting commerce are subject to the FAA. The section one exception specifically names two classes of exempt workers, seamen and railroad employees, and the final exempt group, “workers engaged in commerce,” must be defined in light of the narrowness of the other two exemptions. (*Circuit City Stores, Inc. v. Adams* (2001) 532 US 105, 118, 121 S.Ct. 1302, 1311; see *Muller v. Roy Miller Freight Lines, LLC* (2019) 34 CA5th 1056, 1062.)

The term

“transportation workers” has been defined as those workers who at least play a “necessary role in the free flow of goods” across borders. (*Circuit City Stores, Inc. v. Adams* (2001) 532 US 105, 121; see also *Southwest Airlines Co. v. Saxon* (2022) 596 US 450, 457 (“any class of workers directly involved in transporting goods across state or international borders falls within § 1’s exemption” (finding airplane cargo loaders are such a class); *Harden v. Roadway Package Systems, Inc.* (9th Cir. 2001) 249 F3d 1137, 1140 (driver delivering packages throughout U.S. was “worker engaged in interstate commerce” exempt from FAA); *Hill v. Rent-A-Center, Inc.* (11th Cir. 2005) 398 F3d 1286, 1288-1290 (emphasis of FAA was on class of workers in transportation industry rather than workers who incidentally transported goods interstate as part of their job in otherwise unregulated industry)).

Plaintiff

contends that because he is a transportation worker exempt from the FAA, the FAA does not preempt California Labor Code section 432.6, which prohibits employers from requiring employees to waive rights, forums, or procedures concerning violations of the FEHA and Labor Code as a condition of employment.

A

transportation worker need not work in the transportation industry to fall

within the exemption from the FAA.” *Bissonnette v. LePage Bakeries Park St., LLC* (2024) 601 US 246, 256, 144 S.Ct. 905, 913—“any exempt worker must at least play a direct and necessary role in the free flow of goods across borders” (internal quotes omitted)].

In *Ortiz*

v. Randstad Inhouse Services, LLC (9th Cir. 2024) 95 F.4th 1152., the Ninth Circuit analyzed whether the plaintiff played a “direct and necessary role” in the transportation of goods. In *Ortiz*, the plaintiff was a warehouse worker whose job duties were (1) “picking up the packages and transporting them to the warehouse racks to organize them,” (2) “transport[ing] the packages to the picking section of the warehouse,” (3) “assisting Pickers in obtaining packages so they could be shipped out,” and (4) “assist[ing] the Outflow Department to prepare packages to leave the warehouse for their final destination.” *Id.* at 1158. The Court held that these job duties were sufficient to qualify the warehouse worker under the FAA’s transportation worker exemption. *Id.* at 1162; see also, e.g. *Lopez v. Aircraft Service Int’l, Inc.* (9th Cir. 2024) 107 F.4th 1096, 1103 (holding that a fuel technician placing fuel in plane used for foreign and interstate commerce fell within exemption even though the technician had no hands-on contact with goods or cargo).

Again, those

who do not cross state lines nevertheless qualify as “transportation workers” provided the goods they transport originate out of state such that they participate “in the continuation of the movement of interstate goods to their destinations.” *Nieto v. Fresno Beverage Co., Inc.* (2019) 33 Cal.App.5th 274, 281-284; see also *Betancourt v. Transportation Brokerage Specialists, Inc.* (2021) 62 Cal.App.5th 552, 559-561 (“last-mile delivery drivers” from Amazon warehouse qualify as “transportation workers”); *Rittmann v. Amazon.com, Inc.* (9th Cir. 2020) 971 F.3d 904, 907, 919 (same); *Muller v. Roy Miller Freight Lines, LLC* (2019) 34 Cal.App.5th 1056, 1062.

After review,

the Court agrees that the FAA’s Section 1 exemption applies here because Plaintiff was a transportation worker who performed duties that were directly and necessarily connected to the movement of goods in interstate and international commerce. Plaintiff’s employment assignments demonstrate that his work was not merely incidental to the movement of goods. Rather, throughout each of the relevant assignments, Plaintiff performed duties that placed him directly within the stream of shipping, handling, and delivery of merchandise. (See *Opp.*,

5:13-6:21.)

Given that

Plaintiff falls within Section 1's transportation-worker exemption, the FAA does not apply to his employment agreement. As a result, the FAA does not preempt California's public policy against the enforcement of arbitration agreements under the California Labor Code section 432.6.

California

Labor Code § 432.6 prohibits employers from requiring current and prospective employees to "waive any right, forum, or procedure" for a violation of the Fair Employment and Housing Act (FEHA) and the California Labor Code. Lab. C. § 432.6(a); see *Chamber of Commerce of United States v. Bonta*, 13 F.4th 766,771 (9th Cir. 2021) (finding that section 432.6's enforcement mechanisms, including civil and criminal penalties, were preempted by the FAA, but regulation of employers' pre-agreement conduct was not).

Given

Plaintiff's claims, which arise out of FEHA, the Court finds that the arbitration is unenforceable here in light of Labor Code section 432.6.

Based on the

foregoing, Defendant's motion to compel arbitration is denied.

It is so ordered.

Dated: September
, 2026

Hon. Jon R.
Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must send an email to the court at smcdept17@lacourt.org by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must

identify the party submitting on the tentative.

If all parties to a motion submit, the court will adopt this

tentative as the final order. If the department

does not receive an email indicating the parties are submitting on the

tentative and there are no appearances at the hearing, the motion may be placed

off calendar. For more information, please contact the court clerk at (213)

633-0517.